# Growing Economies

Exam code: 9BS0

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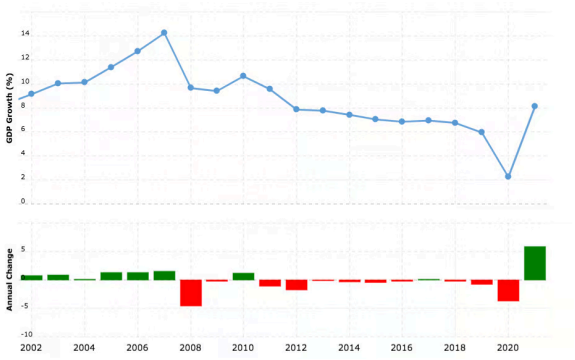
## UK growth compared with emerging economies

- The **growth rate** of a country is measured by the annual change in its **gross domestic product** (GDP)
- **Emerging economies** are economies that have increasing growth rates but relatively low income per head (per capita)
  - E.g. India, China and Brazil are considered to be emerging economies
- UK growth tends to be **lower than that of emerging economies**
  - A key factor in why emerging economies are growing at a faster rate than the UK economy is because of the growth of their **manufacturing sectors**
  - The UK economy has seen a decline in its manufacturing sector as businesses choose to manufacture in emerging economies due to **lower labour costs** and **access to raw materials**
  - **China** is the **world's largest manufacturing** economy and **exporter** of goods

### China's growth




*The growth rate of China from 2002 to 2021 peaked at around 14% Source: Macrotrends*

### The UK's growth

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

*The growth rate of the UK from 2002 to 2021 peaked at around 4% Source: Macrotrends*

Help me understand

- A comparison of the two charts above quickly reveals that the growth rate of **China is consistently higher** than that of the UK
  - The UK growth rate peaked at around 4% in 2000, whereas China peaked at around 14% in 2007

### Examiner Tips and Tricks

In Paper 1, Extracts A-D may include graphs with economic data such as GDP figures, and you may be required to interpret and explain trends over a period of time.

Make sure you read the titles and labels of the axes to be clear about what the information is showing.

# Emerging economic power in the developing world

- Globalisation is the **economic integration of different countries** through increasing freedoms in the cross-border movement of people, goods/services, technology and finance
- The past twenty years have been characterised by **rapid globalisation** and the growing economic power of less economically developed countries
- The integration of global economies has impacted national cultures, spread ideas, and **sped up industrialisation** in developing nations
- Emerging economic powers of countries within Asia, Africa and other parts of the world include:
  - **BRICS**: **B**razil, **R**ussia, **I**ndia, **C**hina and **S**outh Africa
  - **MINT**: **M**exico, **I**ndonesia, **N**igeria and **T**urkey
- Emerging economies have a **growing middle class** with increasing incomes, which allows their citizens to spend more on domestic goods and imported goods from abroad

# The implications of economic growth

- Economic growth **helps to generate income** in a country, and there are numerous implications for businesses and individuals within it

## The impact of economic growth on businesses and individuals

| Impacts on businesses | Impacts on individuals |
|---|---|
| • **Potential for increased profits** as businesses enter new markets and gain more customers<br>• Customers are likely to have **income elastic** demand, leading to increased sales and revenues/profits | • **Reduced unemployment**, as there is more demand, which requires more labour to increase output |
| • **Reduced costs of production**, as businesses can benefit from lower labour costs and cheaper raw materials in emerging economies | • **Increased average incomes**, as individuals now have rising incomes due to employment, which increases the standard of living |
| • **Increased trade opportunities** as demand for goods and services increases | • **Access to quality public services** as more tax revenue is generated, so the government can improve the quantity and quality of public services |
| • **Increase in investment because**, as the economy grows, businesses want to expand, so they are more likely to invest<br>• There may also be an increase in **foreign direct investment** (FDI), as businesses want to benefit from growing economies | |

- There are **four key indicators** used to assess the economic growth of emerging economies
  - Businesses will consider these indicators when deciding which markets to invest in for future expansion

## Key growth indicators

***Indicators of economic growth within an economy include GDP, literacy, health levels and the Human Development Index score***

| Indicator of growth | Explanation |
|---|---|
| **GDP per capita** | • **GDP per capita** is calculated by taking the **total output (GDP)** of a country and dividing it by the **number of people** in that country<br>• **High GDP per capita** is associated with a **high standard of living**<br>• It is important to look at the GDP per capita **over a period of time** to see whether there has been an improvement<br>• **GDP per capita can also be a useful indicator to compare the growth in two countries** |
| **Health** | • The health of a country's citizens is important to businesses that want to invest in **emerging economies**, as this will have an impact on the **quality of the workforce**<br>• Key indicators to consider are average life expectancy, the **infant mortality rate**, access to healthcare and access to clean water |
| **Literacy** | • **Literacy** refers to the percentage of adults within an economy who can read and write<br>  ◦ According to the OECD's 2016 International Adult Literacy Survey, the differences in average skill levels among OECD countries **explain 55% of the differences in economic growth** |

| | |
|---|---|
| | **workforce** as well as the **customers** businesses will be selling to |
| **Human Development Index** | • The **Human Development Index (HDI)** combines the factors of **life expectancy, education and income** to determine the quality of development of citizens within a country<br>• Specifically, the HDI looks at **life expectancy**, **mean years of schooling** and **gross national income (GNI) per capita**<br>• The HDI was created by the United Nations and is measured between 0 and 1 (1 being the highest)<br>• The problem with using the HDI as a measure of development is that:<br>  ○ It **does not account for inequalities** within a country<br>  ○ There is a **lack of reliable data** in some countries |

### Examiner Tips and Tricks

In Paper 1, you should be able to assess the information given in extracts A-D. Questions that use the command word "assess" require you to outline the advantages and disadvantages of the indicators. Make sure you apply your assessment to the context of the business within the extract.

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